LTTS

Q1FY23 Result Update | ER&D Services

Strong commentary, positive outlook

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

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LTTS reported a decent Q1FY23 performance with revenue in-line with our estimates and profitability marginally below our estimates. Dollar revenue growth guidance for FY23e reaffirmed at 13.5-15.5%

- $ Revenue came in at $239.5 Mn, +3.2% qoq / +16.4% yoy and in-line with our estimates
- INR revenue came in at INR 18,737 Mn, +6.7% qoq / +23.4% yoy and 1% above our estimate
- EBITDA was reported at INR 4,010 Mn, +5.4% qoq / +26.2% yoy and -2.5% below our estimates
- EBITDA margins stood at 21.4%, vs 21.7% / 20.9% in Q4FY22 / Q1FY22 respectively and 70 bps below our estimates
- EBIT was reported at INR 3,434 Mn, +4.9% qoq / +30.9% yoy and -3.3% below our estimates
- EBIT margins stood at 18.3%, vs 18.6% / 17.3% in Q4FY22 / Q1FY22 respectively and 80 bps below our estimates
- PAT came in at INR 2,742 Mn, +4.7% qoq / +26.8% yoy and -4.4% below our estimates
- EPS at INR 25.9 in Q1FY23 vs 24.8 / 20.5 in Q4FY22 / Q1FY22 respectively
- FY23e USD revenue growth guidance maintained at 13.5-15.5%
- Company won 1 $50 Mn+ deal (in Aerospace and Rail vertical), 4 $15 Mn+ deals and 2 $10 Mn+ deals during the quarter

Segment-wise Performance

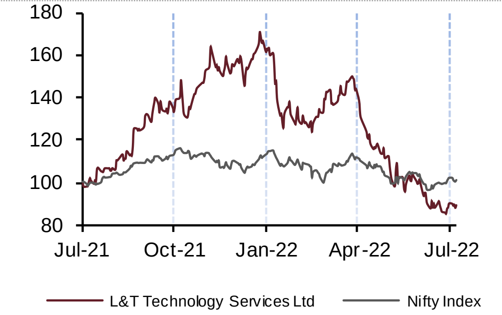
- **Transportation** (33.2% of services revenue) reported +2.9% qoq / +23.8% yoy
- **Industrial Products** (19% of revenue) reported +4.4% qoq / +13.6% yoy
- **Telecom & Hi-Tech** (20.3% of revenue) reported +0.1% qoq / +7.3% yoy
- **Process Industry** (16% of revenue) reported +7.5% qoq / +20.3% yoy
- **Medical Devices** (11.5% of revenue) reported +2.6% qoq / +13.9% yoy

Rating	TP (Rs)	Up/Dn (%)
BUY	3,845	24.32

Market data		
Current price	Rs	3,093
Market Cap (Rs.Bn)	(Rs Bn)	326
Market Cap (US$ Mn)	(US$ Mn)	4,087
Face Value	Rs	2
52 Weeks High/Low		Rs 958.1 / 2923.35
Average Daily Volume	('000)	409
BSE Code		540115
Bloomberg		LTTS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	73.88	73.90
Public	26.12	26.10
Total	**100**	**100**

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	56,191	54,497	65,697	78,261	89,207
EBITDA	11,105	10,074	14,149	16,512	18,965
Adjusted net profit	8,218	6,659	9,600	11,321	13,510
Free cash flow	4,870	12,517	7,131	7,726	8,865
EPS (Rs)	81.1	65.7	91.1	107.4	128.2
growth (%)	7%	-19%	39%	18%	19%
P/E (x)	38.2	47.2	34.0	28.8	24.2
P/B (x)	11.3	9.0	7.9	6.6	5.5
EV/EBITDA (x)	27.8	30.6	22.4	18.8	16.1
D/E	-	-	-	-	-
ROCE (%)	28.6	18.8	22.4	22.5	22.8
RoE (%)	31.4	21.4	25.2	25.0	25.0
Dividend yield (%)	0.8	0.7	0.9	1.0	1.2

Source: Company, D&B Research

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Concall Highlights

- Patent filings in Q1FY23 increased to 25 versus 20 in Q4FY22.
- 7 large deals won during Q1FY23. 1 deal of $50 Mn+ in Aero and Rail space, 4 deal $15 Mn+ and 2 deals with a TCV of $10 Mn+
- Margin walk: Headwinds from higher employee benefit costs which was offset by operational efficiency, economies of scale and currency depreciation. There are going to be headwinds in Q2 due to wage hikes which LTTS will try to offset by growth and operational efficiencies.
- Headcount: 572 net new additions in Q1. Attritions being at higher levels of 23.2% Q1FY23 vs 20.4% in Q4FY22. Attrition trends are likely to soften as LTTS plans to take various employee engagement measures.
- Outlook: FY23e dollar revenue growth of double digit (13.5-15.5%) continues Additionally, company reconfirmed its target of becoming $1 Bn enterprise by Q2/Q3 of FY23 and $1.5 Bn enterprise by FY25. Expect to maintain EBIT margins of 18%+ levels

Segment-wise Commentary:

- Transportation: Good pipeline of deals throughout the Auto, TNOH and Aero and outlook looks healthy. With good demand in the EV space, design of high-power motors and inverters, digital cockpit and analytics. Rising spends in the connected and electric space and cybersecurity in cars.
- Plant Engineering: Strong growth this quarter broad-based performance across FMCG, O&G and Chemicals. Benefiting from a secular trend for Capacity Expansion and Plant modernization as companies focus on Digital Asset Management and Automation. Management has a positive outlook and expects a steady growth momentum in this segment.
- Industrial Products: Growth this quarter was led by Electrical followed by building automation. Increase in demand for machinery and electric value chain, digital engineering, IIOT and robotics as new factories open or existing factories get ramped up.
- Telecom & Hi-Tech: Good quarter in terms of deal wins, 2 deal wins in the semicon space. Demand is likely to increase in the specialized chip space. There is some caution among certain customers but there are large deal pipelines in this vertical and it is looking positive with some of them closing in the coming quarters.
- Medical: There was a steady QoQ growth with rising trend in using software in enhancing devices and chips for image processing. Investing in software as a medical device to acquire new customers. Some tightening of budget is being seen among some customers due to inflationary cost measures.
- Segmental Margin performance improved in 3 out of the 5 segments on a QoQ basis.

Other Highlights

- There were no freshers hiring this quarter but the company plans to hire similar number of freshers this year too with 2500 offers already out. LTTS will continue to invest on its upscaling and rescaling strategy.
- Offshore effort stood at 56.2% and should go up to 57-58% going ahead.
- Cash & Investments stood at INR 2,241 Cr. There was slightly higher other income on sequential basis coming from investments

Quarterly Deviation Sheet

Quaterly Analysis

YE March (INR Mn)	Q1 FY23	Q4 FY22	Q-o-Q change %	Q1 FY22	Y-o-Y change %	Q1 FY23 Est.	Deviation %
Total Revenue (USD Mn)	**239.5**	**232**	***3.2%***	**206**	***16.4%***	**241**	**-0.6%**
Total Revenue (INR Mn)	**18,737**	**17,561**	***6.7%***	**15,184**	***23.4%***	**18,576**	**0.9%**
Less:							
Cost of Revenues	10,683	9,485	*12.6%*	8,758	*22.0%*	10,005	6.8%
SG&A Expenses	4,044	4,271	*(5.3%)*	3,249	*24.5%*	4,458	-9.3%
Total Expenditure	**14,727**	**13,756**	***7.1%***	**12,007**	***22.7%***	**14,463**	**1.8%**
EBIDTA	**4,010**	**3,805**	***5.4%***	**3,177**	***26.2%***	**4,112**	**-2.5%**
Less: Depreciation	576	531	*8.5%*	554	*4.0%*	562	2.5%
EBIT	**3,434**	**3,274**	***4.9%***	**2,623**	***30.9%***	**3,551**	**-3.3%**
Interest Paid	108	105	*2.9%*	108		105	
Other income (expense), net	448	419	*6.9%*	442	*1.4%*	464	**-3.5%**
Profit Before Tax	**3,774**	**3,588**	***5.2%***	**2,957**	***27.6%***	**3,910**	**-3.5%**
Tax	1,024	956	*7.1%*	787	*30.1%*	1,042	-1.7%
PAT before Minority Interest	**2,750**	**2,632**	***4.5%***	**2,170**	***26.7%***	**2,868**	**-4.1%**
Minority Interest	8	12		8		0	
Profit After Tax	**2,742**	**2,620**	***4.7%***	**2,162**	***26.8%***	**2,868**	**-4.4%**
Basic & Diluted EPS (Rs.)	**26.1**	**24.8**	***5.2%***	**20.5**	***27.4%***	**27.2**	**-3.9%**
Outstanding Shares (mn)	105	106		106		106	
Margin Analysis %			***Change In bps***		***Change In bps***		
EBIDTA Margin	**21.4%**	**21.7%**	***-27***	**20.9%**	***48***	**22.1%**	**-74**
EBIT	18.3%	18.6%	*-32*	17.3%	*105*	19.1%	-79
PBT Margin	**20.1%**	**20.4%**	***-29***	**19.5%**	***67***	**21.0%**	**-91**
NPM	14.6%	14.9%	*-29*	14.2%	*40*	15.4%	-81
Effective Tax Rate (%)	**27.1%**	**26.6%**	**49**	**26.6%**	**52**	**26.6%**	**49**
Cost Analysis %			***Change In bps***		***Change In bps***		
Cost of Revenues/ Sales	**57.0%**	**54.0%**	***300***	**57.7%**	***-66***	**53.9%**	**315**
Other income/ PBT	**11.9%**	**11.7%**	***19***	**14.9%**	***-308***	**11.9%**	**-1**

Source: Company, D&B Research

Valuation & Outlook

LTTS is currently trading at 28.8x / 24.2x FY23e/FY24e EPS respectively.

Q1FY23 results were largely in-line with our estimates except for EBIT margins which were under pressure due to supply-side issues. However, vertical-wise and management commentary was extremely positive as it maintained its aspiration to become a $1 Bn enterprise by Q2/Q3 FY23 and $1.5 Bn by FY25.

LTTS is the largest ER&D services player available at deep discount to peers like Tata Elxsi (trading at 55.3x FY24e) and KPIT Tech (trading at ~35-40x FY24e).

We re-iterate a BUY rating on the stock as we assign target multiple of 30x (which is still conservative compared to peer valuations) and arrive at a target price of INR 3,845.

P.S. This forms our base case scenario. In a bull case, we assign a target multiple of 35x FY24e to arrive at a TP of INR 4,486.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	**56,191**	**54,497**	**65,697**	**78,261**	**89,207**
Growth %	*10.6%*	*-3.0%*	*20.6%*	*19.1%*	*14.0%*
Total Revenue	**56,191**	**54,497**	**65,697**	**78,261**	**89,207**
Growth %	*11%*	*-3%*	*21%*	*19%*	*14%*
Less:					
Employee Cost	33,700	33,615	36,505	44,908	50,616
SG&A Expenses & Other	11,386	10,808	15,043	16,841	19,625
Total Operating Expenditure	**45,086**	**44,423**	**51,548**	**61,749**	**70,242**
EBIDTA	**11,105**	**10,074**	**14,149**	**16,512**	**18,965**
Growth %	*21.4%*	*-9.3%*	*40.5%*	*16.7%*	*14.9%*
Growth %	*21%*	*-9%*	*40%*	*17%*	*15%*
Less: Depreciation	1,829	2,183	2,144	2,406	2,498
EBIT	**9,276**	**7,891**	**12,005**	**14,106**	**16,467**
Growth %	*14.4%*	*-14.9%*	*52.1%*	*17.5%*	*16.7%*
Interest Paid	365	455	437	432	432
Non-operating Income	2,091	1,537	1,524	1,871	2,230
Profit Before tax	**11,002**	**8,973**	**13,092**	**15,545**	**18,266**
Tax	2,778	2,308	3,486	4,218	4,749
Net Profit	**8,230**	**6,671**	**9,612**	**11,333**	**13,522**
Adjusted Profit	**8,230**	**6,671**	**9,612**	**11,333**	**13,522**
Growth %	*7%*	*-19%*	*44%*	*18%*	*19%*
Reported Diluted EPS Rs	**81.0**	**65.6**	**91.0**	**107.3**	**128.1**
Growth %	*7.0%*	*-19.0%*	*38.7%*	*17.9%*	*19.3%*
Adjusted Diluted EPS Rs	**81.1**	**65.7**	**91.1**	**107.4**	**128.2**

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	**8,218.0**	**6,659.0**	**9,600.0**	**11,321.2**	**13,510.5**
(Less)/Add: Extraordinary Income/l	0.0	0.0	0.0	0.0	0.0
Less: Non Operating Income	(2,091.0)	(1,537.0)	(1,524.0)	(1,871.2)	(2,230.2)
Add: Depreciation	1,829.0	2,183.0	2,144.0	2,405.8	2,497.8
Operating Profit before WC Cha	**8,321.0**	**7,760.0**	**10,657.0**	**12,287.8**	**14,210.1**
(Inc)/Dec in Current Assets	(5,256.0)	(6,352.0)	(4,467.1)	(5,281.6)	(6,017.5)
Inc/(Dec) in Current Liabilities	1,472.0	800.0	3,519.6	2,323.6	2,198.8
Net Cash From Operations	**4,537.0**	**2,208.0**	**9,709.5**	**9,329.8**	**10,391.5**
CF from Investing Activities					
(Inc)/Dec in Fixed Assets	(2,485.0)	(2,147.0)	(2,874.0)	(2,000.0)	(2,000.0)
Add: Non Operating Income Incon	2,091.0	1,537.0	1,524.0	1,871.2	2,230.2
(Inc)/Dec in Intangible Assets	211.0	(418.0)	0.0	0.0	0.0
CF from Financing Activities					
Inc/(Dec) in Reserves & Surplus	1,466.0	(690.0)	510.9	317.4	230.4
Dividend Paid	(2,465.4)	(2,330.7)	(2,880.0)	(3,396.4)	(4,053.1)
Cash from Financing Activities	**(4,755.0)**	**(484.0)**	**(2,805.1)**	**(3,511.0)**	**(4,254.8)**
Net Inc/Dec in cash equivalent:	**1,099.0**	**157.0**	**5,082.1**	**5,577.0**	**6,268.3**
Opening Balance	**2,182.0**	**5,669.0**	**6,526.0**	**10,588.8**	**15,908.5**
Closing Cash and Cash Equivale	**3,281.0**	**5,826.0**	**11,608.1**	**16,165.8**	**22,176.8**

Key Ratios (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin (%)	19.8	18.5	21.5	21.1	21.3
Tax / PBT (%)	25.2	25.7	26.6	27.1	26.0
Net Profit Margin (%)	14.6	12.2	14.6	14.5	15.1
RoE (%)	31.4	21.4	25.2	25.0	25.0
RoCE (%)	28.6	18.8	22.4	22.5	22.8
Current Ratio (x)	347.0	390.5	352.5	367.5	389.3
Dividend Payout (%)	30.0	35.0	30.0	30.0	30.0
Book Value Per Share (Rs.)	272.8	342.2	392.9	468.0	557.7
Financial Leverage Ratios					
Interest Coverage (x)	481.4x	481.4x	481.4x	481.4x	481.4x
Growth Indicators %					
Sales Growth (%)	10.6	-3.0	20.6	19.1	14.0
EBITDA Growth (%)	21.4	-9.3	40.5	16.7	14.9
Net Profit Growth (%)	7.0	-19.0	44.2	17.9	19.3
Diluted EPS Growth (%)	7.0	-19.0	38.7	17.9	19.3

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	209	210	211	211	211
Reserves & Surplus	27,477	34,521	41,241	49,166	58,623
Equity	**27,686**	**34,731**	**41,452**	**49,377**	**58,834**
Net Worth	**27,686**	**34,731**	**41,452**	**49,377**	**58,834**
Total Loans	**303**	**578**	**578**	**578**	**578**
Lease Liabilities	**3,961**	**4,805**	**4,015**	**4,015**	**4,015**
Capital Employed	**33,641**	**41,115**	**47,557**	**55,799**	**65,487**
Assets					
Gross Block	3,873	4,349	7,223	9,223	11,223
Less: Depreciation	1,774	2,286	4,430	6,836	9,334
Net Block	**2,099**	**2,063**	**2,793**	**2,387**	**1,889**
Investments	**1,137**	**1,644**	**2,038**	**2,114**	**2,179**
Intangible Assets	6,146	6,564	6,564	6,564	6,564
Others Assets	972	1,116	1,345	1,603	1,827
Current Assets					
Sundry Debtors	13,807	12,346	14,579	17,153	19,552
Cash and Bank Balance	5,669	6,526	10,589	15,908	21,953
Total Current Assets	**32,592**	**39,801**	**48,331**	**58,932**	**70,994**
Less: Current Liabilities					
Sundry Creditors	1,975	2,352	3,107	3,722	4,234
Other Current Liabilities	5,763	6,256	8,212	9,783	11,151

Source: Dalal & Broacha Research, Company

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